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STUDENT INVESTMENT MANAGEMENT GROUP

Gilead Sciences

By the Defensive sector

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Hold

Price: $153.57

Fair Market: $131

1-Year Price Target: $163.12

Industry: Drug Manufacturers

P/E	EV/EBITDA	Market Cap	52 Week
17.81x	14x	190.42B	High: $160.51 Low: $114.02

Security Description

- Gilead Sciences (NASDAQ: GILD) is a leading biopharmaceutical company headquartered in Foster City, California, specializing in HIV treatment and prevention, liver diseases, oncology, and cell therapy.
- Its major products include Bakary, Descovy, Yeztugo, Trodelvy, Yescarta, and Tecartus. Its HIV franchise provides recurring revenue, while oncology and long-acting HIV prevention offer future growth opportunities.

Earnings Review

- Total revenue reached $7.80B, up 10% YoY, with product sales of $7.63B, up approximately 8%.
- Trodelvy revenue increased 26% to $457M, supported by stronger demand in breast cancer treatment. Tecartus sales declined 24% to $70M due to competition.
- GAAP earnings were significantly affected by approximately $11.2B in acquired R&D charges, primarily from Arcellx ($7.0B), Tubulis ($3.1B), and Ouro Medicines ($1.0B). These were acquisition-related charges, not ordinary operating expenses.
- Product gross margin reached 79.3%, compared with 78.7% a year earlier, showing stability in the core business.

Valuation

- GILD's reported forward P/E of 15.4x compared with a large-pharma median of 16.9x would represent an approximately 8.9% valuation discount, although both multiples need to be refreshed using October 21 prices and consistent earnings estimates
- Its reported EV/EBITDA multiples of 15.6x on 2025 EBITDA and 14.3x on normalized EBITDA also require verification.
- The key valuation question is whether growth from Yeztugo and Trodelvy can offset declining cell therapy sales and justify higher earnings multiple.

Forward Outlook

- Q3 earnings catalyst: Monitor Biktarvy growth, Yeztugo adoption, oncology revenue, and any changes to full-year 2026 guidance.
- HIV innovation: The FDA has assigned February 2, 2027, as its decision date for once-weekly oral Yeztugo, which could expand the company's HIV prevention market.
- Oncology expansion: Trodelvy received additional FDA approvals for first-line metastatic triple-negative breast cancer. Gilead also acquired Arcellx and Tubulis to strengthen its cancer-treatment pipeline.
- 2026 guidance: Management raised its product-sales forecast to $30.1B–$30.4B, with sales excluding Veklury projected at $29.8B–$30.1B.

Risks

- Revenue concentration: HIV remains Gilead's dominant therapeutic area, exposing the company to pricing pressure, competition, and regulatory changes.
- Cell therapy weakness: Competition continues to pressure Yescarta and Tecartus, creating uncertainty around future growth.
- Acquisition execution: The substantial investments in Arcellx, Tubulis, and Ouro Medicines increase pressure to deliver successful clinical results and commercial returns.
- Clinical and regulatory risk: Drug-development failures, delayed approvals, and reimbursement restrictions could weaken growth expectations. Gilead also discontinued its Phase 3 EVOKE-03 lung cancer study.

Investment Thesis

- Gilead offers relatively defensive revenue from its established HIV franchise, while Yeztugo, Trodelvy, and recent oncology acquisitions provide additional growth potential. However, its valuation needs to be assessed against acquisition costs, revenue concentration, and increasing competition in cell therapy.